



Dual-Track Pricing Strategy

OVERVIEW

A data-driven pricing architecture for a health nutrition brand launch – built on 41,272 clean transactions, three psychological price walls, and one counterintuitive finding about who actually pays premium prices.

RAISE

Supplements +10%

Meal Replacements +10%

HOLD

Protein Shake at \$26 - 34

VOLUME PLAY

Protein Bar

Electrolyte Drink

The Pricing Blind Spot

The brand is currently pricing by intuition in a market with three structural walls. Crossing any one of them without justification destroys demand immediately.

Wall 1 | \$20 | Hard Cliff (Most Dangerous)

Below \$20, **63.6% of all purchases** happen.

Above \$20, volume drops by **54% in one step**. No persona – not even "premium" – is immune to this wall. Think of this as the "budget ceiling."

Wall 2 | \$35 | Premium Boundary

41% demand drop. Only two specific product types (Supplements and Meal Replacements) with the right ingredient claims (vegan, keto) sustain demand above this level. Everything else falls off.

Wall 3 | \$55 | Luxury Threshold

Another **41% drop**. Tiny volume (6.5% of transactions) but extraordinary revenue efficiency, **3.8x higher revenue per transaction** than entry tier products.

⚠ Even within the mass market, demand softens at \$15.

Demand Distribution: Where Customers Actually Buy

40.8% of all purchases happen between \$10 - 20. This is the sweet spot for volume. The brand must decide whether it wants to fill this bucket or transcend it.



Key Insight: Revenue Does Not Follow Volume

The top **17.6%** of transactions (Premium + Luxury tiers combined) generate nearly as much revenue as the bottom **63.6%** of transactions (Entry + Mass tiers).

At **3.8x revenue efficiency**, the Luxury tier earns more per transaction than any other segment. The brand should prioritise moving its mix upward, not by raising all prices, but by building the right products for the right tiers.

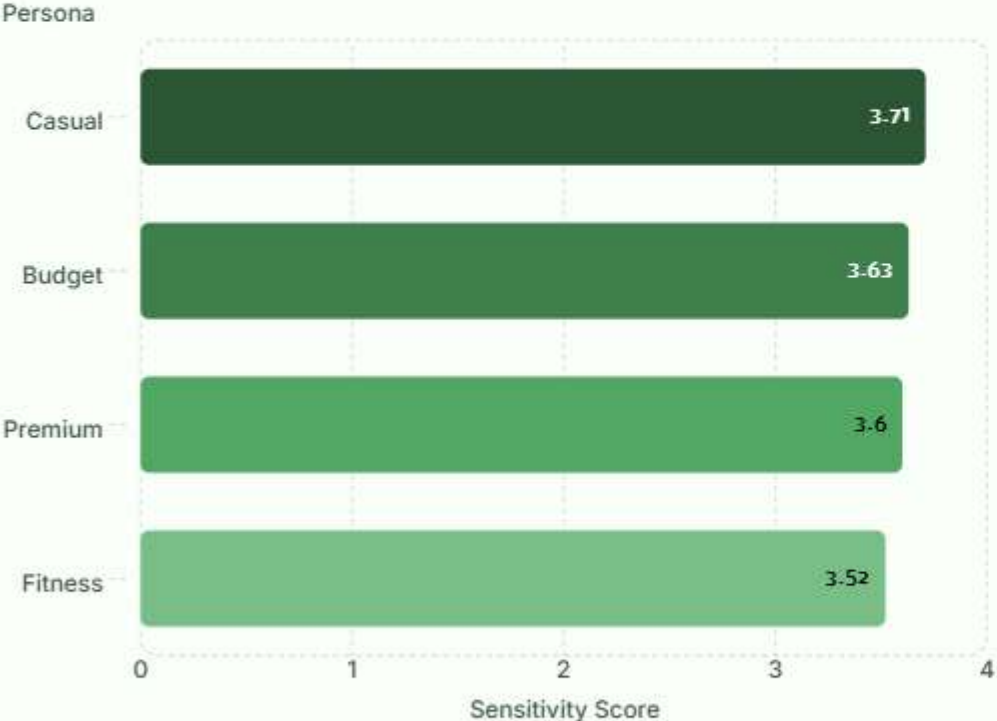
- ✓ Protein Bar and Electrolyte belong in the \$10 - 15 sweet spot. Supplement and Meal Replacement belong in the \$35 - 55 premium tier.

Persona Strategy: The Counterintuitive Finding

"Premium" consumers are **not** premium price tolerant. All four personas hit the same demand wall at the same price. Category and product claims matter more than who the buyer says they are.

Sensitivity Scores by Persona

Higher score = more price sensitive



The spread across all four personas is just **0.19x** – statistically, these groups behave almost identically. The "premium" label is a consumer identity, not a willingness-to-pay signal.

Differentiated Strategies by Persona

 Fitness Best for \$20 - 35 mid-tier. Use high-protein and keto claims. App and Gym Kiosk channels.	 Premium Requires claim stacking (vegan + Supplement) to justify \$35+. The label alone does nothing.
 Budget Price anchor at \$12 - 15. Maximise volume via Marketplace. Never push above \$19.99.	 Casual Most price sensitive. Keep at \$10 - 18. Late-night impulse buyer – convenience wins.

Product & Trend Pricing Power

Vegan + Meal Replacement is the single best premium SKU combination in the entire portfolio. Claims that compound together unlock pricing power no single claim achieves alone.

Claim-Level Premium Power

% of transactions above \$35 (higher = stronger premium signal)



The Claim-Stacking Principle

Single claims give moderate pricing power. Combined claims are **transformational**. Think of claims like ingredients in a recipe – the right combination creates something entirely different.

i A vegan Meal Replacement is not just "a meal replacement with a vegan label." It is a fundamentally different purchase proposition that commands \$47 where a standard meal replacement commands \$15.

Vegan + Meal Replacement
77.5% above \$35 - Median \$47.50

Gluten-free + Meal Replacement
62% above \$35 - Median \$51.00

Keto + Supplement
61.4% above \$35 - Median \$42.38

High-protein + Protein Shake
47.9% above \$35 - Median \$28.16

Regional Pricing Architecture

Price 5 -10% higher in Colorado, California, and New York. Tier 3 cities – not Tier 1 metro areas – are the most revenue-efficient geography. The explanation is counterintuitive: it is about what people are buying *for*, not where they live.

Premium States +5–10% above national base Colorado: Median \$16.45 · 19.5% in premium/luxury tiers New York: Median \$16.11 · 19.0% in premium/luxury tiers California: Median \$16.16 · 18.8% in premium/luxury tiers	Mid States Standard Pricing Illinois: \$15.69 median Washington: \$14.87 median · Florida: \$14.83 median	Volume States Compete on Availability Georgia: \$14.50 median · 16% in D+E Texas: \$14.35 median · 15.5% in D+E High-volume, low-margin markets. Win by making the brand ubiquitous at the right price.
--	---	---

City Tier Revenue Efficiency(Counterintuitive Result)

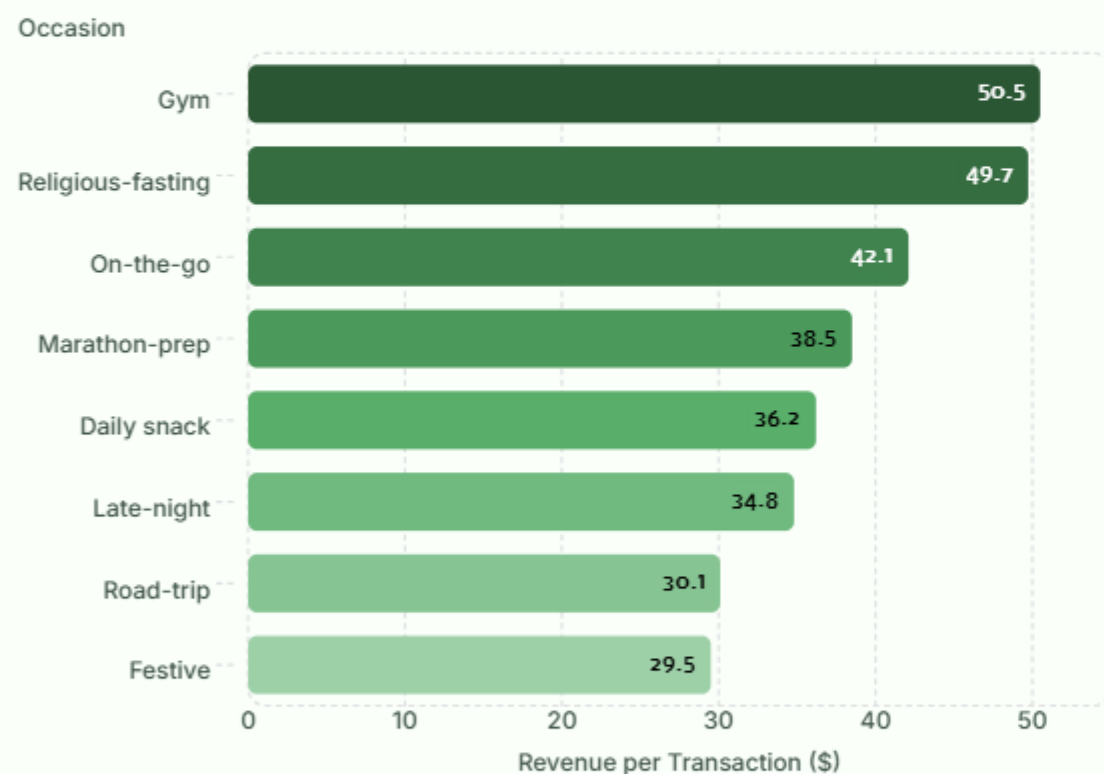
\$57.52 Tier 3 Cities Highest revenue per transaction – functional purchase mix: gym, marathon prep, religious fasting	\$47.00 Tier 2 Cities Mid-range revenue per transaction	\$45.94 Tier 1 Cities Lowest – 47.4% of transactions are late-night impulse purchases, a low-consideration context
---	--	---

✔ **Channel Pricing Tolerance (high → low):** App \$15.91 → Gym Kiosk \$15.72 → Retail \$15.74 → Website \$15.50 → Marketplace \$14.75. Launch premium SKUs on App first in Tier 3 cities of premium states.

Occasion Strategy & The Late-Night Paradox

The brand's biggest revenue opportunity is not creating new customers, it is **upgrading what late night customers already buy**. This single product mix change could lift the largest revenue segment by 3 - 4% without touching prices.

Occasion-Based Pricing Power



High-intent occasions (Gym, Religious fasting) command the highest revenue per transaction because consumers are solving a specific, non-negotiable functional need. These occasions should receive Supplement and Meal Replacement focus with keto/halal/vegan claims.

The Late-Night Paradox

Late-night is the **single largest revenue occasion** at 24.9% of total revenue (\$502K). Yet it has the second-lowest median price (\$15.62) and the lowest premium-tier share (17.0% in D+E) of any occasion.

The opportunity is **not to raise prices**. It is to shift the product mix.

Late-night Meal Replacement transactions already command \$16.28 median – \$0.43 above the overall late-night median. Shifting the promotional default from Protein Bar to Meal Replacement raises average transaction value by **\$0.40-0.70 on 10,000+ transactions** without any price change.

That is **\$4,000-7,000 in incremental annual revenue** from a single merchandising decision.

- ❏ Action: In Tier 1 cities, prioritise Meal Replacement visibility on App and Website during late-night hours (10pm - 3am). Position it as a complete, satisfying option rather than a snack.

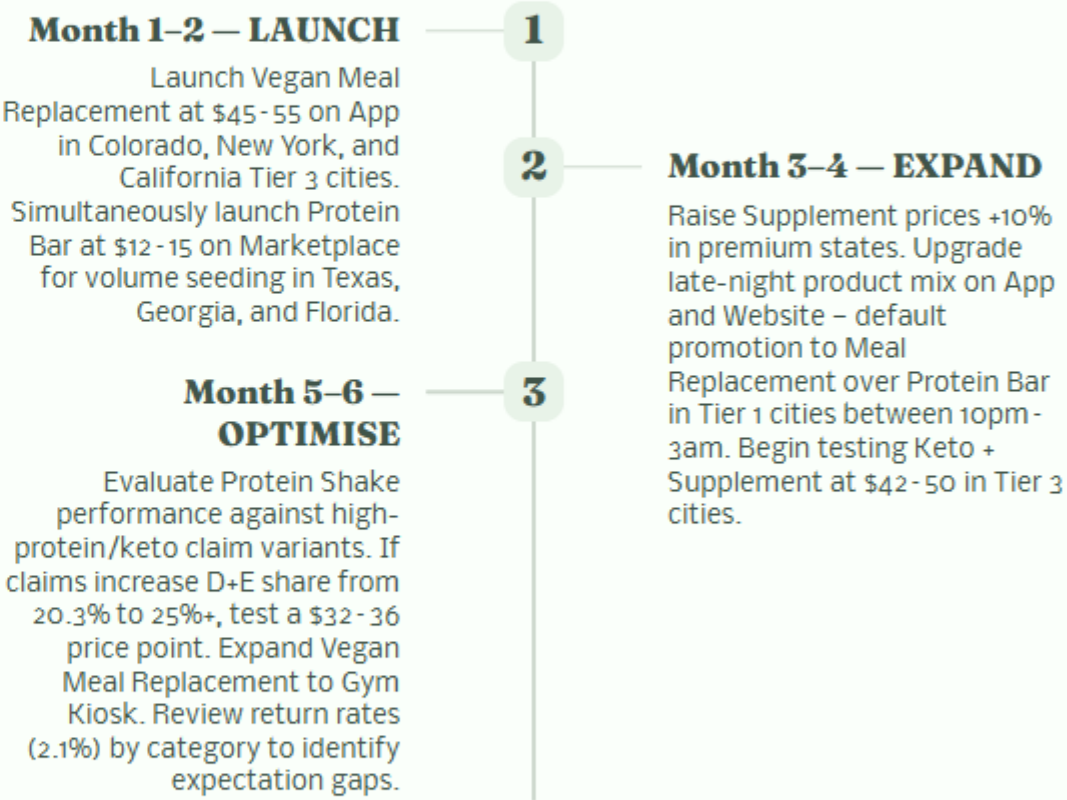
Revenue vs. Volume Trade-Off & Implementation Roadmap

The brand’s pricing strategy comes down to one decision per category: raise, hold, or lower. Two categories reward price increases. Three destroy value if you raise prices.

Revenue Simulation: What Happens at +10% Price Increase

Category	Elasticity	Volume Impact	Revenue Δ	Decision
Supplement	0.6 (inelastic)	Volume falls 6%	+\$9,789	RAISE
Meal Replacement	0.8 (inelastic)	Volume falls 8%	+\$4,748	RAISE
Protein Shake	1.0 (unit elastic)	Volume falls 10%	-\$4,404	HOLD
Healthy Snack	1.5 (elastic)	Volume falls 15%	-\$13,068	HOLD/LOWER
Protein Bar	1.4 (elastic)	Volume falls 14%	-\$19,718	VOLUME PLAY
Electrolyte Drink	1.6 (elastic)	Volume falls 16%	-\$13,597	LOWER/VOLUME

Implementation Roadmap



⚠️ Limitation: Elasticity values are directional proxies, not measured price elasticity. Validate with 30-day A/B price tests per category on a subset of markets before executing full-portfolio price changes.